Investor Suitability and Investment Limits Policy

Kestrel Asset Management - Investor Suitability and Investment Limits Policy. Policy owner: Head of Compliance. Version 4.2, approved by the Investment Committee on 2026-02-18. Purpose: this policy sets the maximum risk an adviser may recommend for each client risk profile and the asset-class limits that apply to all retirement products (Retirement Annuity and preservation funds). A client's risk profile must be re-assessed at least at the review frequency below, and immediately after a material life event (retirement, divorce, death of a spouse, or a change of more than 30% in investable assets).

Table 1 - Risk profile suitability matrix

Client risk profile	Max fund risk rating	Max equity exposure	Max offshore exposure	Min horizon (years)	Review frequency
Conservative	Low-Medium	25%	10%	1	Annual
Moderately Conservative	Medium	40%	20%	3	Annual
Moderate	Medium	60%	30%	5	Annual
Moderately Aggressive	Medium-High	75%	40%	5	Semi-annual
Aggressive	High	100%	45%	7	Semi-annual

Table 2 - Retirement product asset-class limits

Asset class	Max % of retirement portfolio	Single-issuer limit	Notes
Equities (total)	75%	15% (large cap) / 10% (other)	Includes offshore equities
Listed property	25%	5%	Includes REITs
Offshore assets	45%	n/a	Excludes Africa allowance
Africa ex-SA	10%	n/a	Additional to offshore limit
Private equity	15%	2.5% per fund	Board approval required
Hedge funds	10%	2.5% per fund	Fund-of-hedge-funds: 5% per fund
Commodities	10%	5% (gold) / 2.5% (other)	Exchange-traded only

Infrastructure	45%	15% per issuer	Across debt and equity combined

Breaches. A passive breach of an asset-class limit (caused by market movement) must be corrected within 12 months. An active breach (caused by a switch or new contribution) must be reported to Compliance within 2 business days and corrected within 30 days. Advisers may not recommend a fund whose risk rating exceeds the client's maximum fund risk rating without a signed client deviation letter.